SaaS Valuation Engine · Equity Research
US Software · Initiation of coverage

Snowflake Inc. (SNOW)
1 November 2026

HIGH GROWTH · INITIATING AT UNDERWEIGHT

Snowflake: Quality Platform, but the Price Assumes Too Much

We initiate on Snowflake with an Underweight rating and a price target of $199, implying an expected return of -35.0% against a coverage-universe median of 5.8%. We see a durable, growing data platform. However, at $306.08 the shares discount growth well above what the business is delivering, on a cost base still burdened by heavy stock-based compensation.

1. The share price embeds growth the business is not showing

Our reverse DCF indicates the current price requires revenue growth of 66.3%, against a DCF starting point of 29.2% that matches calendar 2025 growth of 29.2%. Reported growth has decelerated from 69.4% in FY2023 to 35.9% in FY2024 and 29.2% in FY2026. The gap to the implied rate is widening rather than closing.

2. Premium multiple out of proportion to the growth premium

Snowflake trades at 23.1x calendar 2025 EV/revenue versus a peer median of 5.9x. Growth runs 15.5 points above the peer median of 13.7%, while the FCF margin of 23.9% sits below the peer median of 26.7%. A combined growth-plus-FCF-margin score of 53.1% is strong, but it does not justify a premium of this size, and P/FCF of 98.1x leaves little room for execution slippage.

3. Cash generation flattered by stock-based pay

Stock-based compensation was 34.6% of calendar 2025 revenue, above the reported FCF margin. It has fallen from 49.6% in FY2022, but GAAP operating margin remains -30.6% on revenue of $4.7B. The FCF margin has also not shown operating leverage, moving from 27.8% in FY2024 to 23.9% in FY2026.

SNOW share price and 12-month price target



Source: Yahoo Finance (daily close, split-adjusted); price target and scenarios from this model.

RATING
Underweight

PRICE TARGET	
12-month target	**$199**
Share price (2026-11-01)	**$306.08**
Expected return	**-35%**
Bull case	**$330 (+8%)**
Bear case	**$120 (-61%)**

KEY DATA	
Market cap	**$108.0B**
Enterprise value	**$106.2B**
52-week range	**$121–$369**
EV / revenue (CY25)	**23.1x**
EV / EBITDA (CY25)	**NM**
P / FCF (CY25)	**98.1x**
Revenue growth (CY25)	**29%**
FCF margin (CY25)	**24%**
Growth price implies	**66%**

VALUATION	
DCF value	**$89**
Comps value	**$269**
WACC	**11.0%**
Terminal growth	**3.0%**

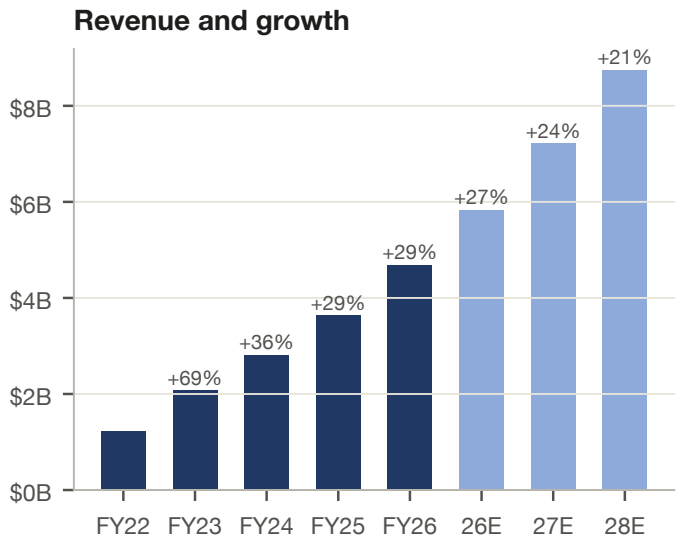
Business overview

Snowflake sells the AI Data Cloud, a fully managed data platform built on three major public clouds across 53 regional deployments, with storage, compute and cloud-services layers that scale independently. Customers use it for data engineering, analytics, AI (Cortex, Snowflake Intelligence), applications, and collaboration and data sharing via the Marketplace. It has recently added transactions through Snowflake Postgres and observability through the February 2026 acquisition of Observe. Revenue is consumption-based: customers pay for the storage and compute they use rather than a fixed subscription, so revenue tracks workload volumes. Sales run primarily through a direct field and inside sales team, supplemented by resellers, distributors, system integrators and a self-service trial. As of January 31, 2026, the company had 13,328 customers, including 790 of the Forbes Global 2000, which contributed approximately 43% of revenue. Net revenue retention was 125%.

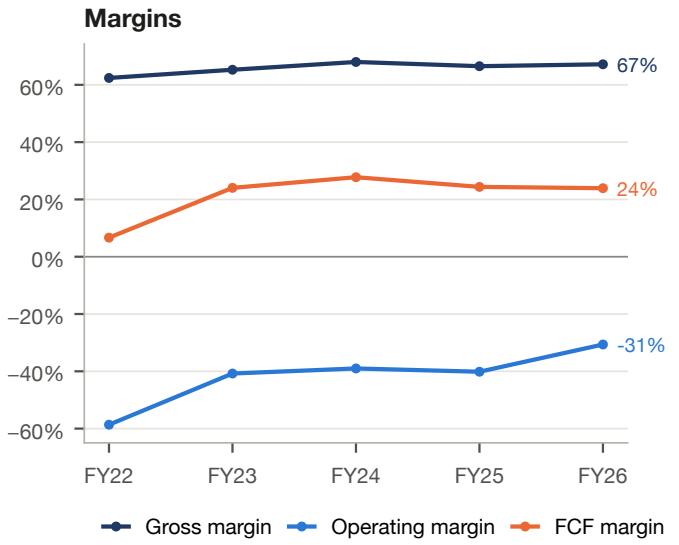
Financial summary

USD millions	FY22	FY23	FY24	FY25	FY26	26E	27E	28E
Revenue	1,219	2,066	2,806	3,626	4,684	5,816	7,208	8,744
growth	*n/a*	*+69%*	*+36%*	*+29%*	*+29%*	*+27%*	*+24%*	*+21%*
Gross margin	62%	65%	68%	67%	67%	–	–	–
Operating margin	-59%	-41%	-39%	-40%	-31%	–	–	–
Free cash flow	81	496	779	884	1,120	n/a	n/a	n/a
FCF margin	*7%*	*24%*	*28%*	*24%*	*24%*	*n/a*	*n/a*	*n/a*
FCF after stock-based pay	(524)	(365)	(389)	(595)	(479)	(411)	(253)	5
margin	*-43%*	*-18%*	*-14%*	*-16%*	*-10%*	*-7%*	*-4%*	*0%*
Stock-based pay % revenue	50%	42%	42%	41%	34%	–	–	–

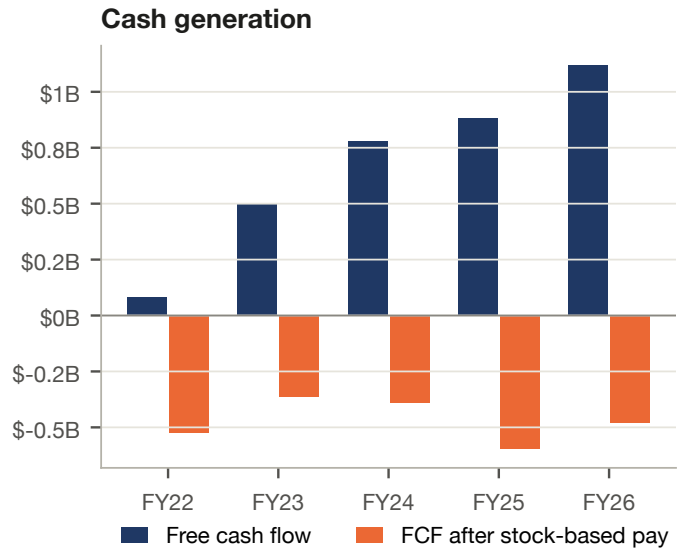
Actuals are fiscal years from 10-K filings (SEC EDGAR). Estimates (E, shaded) are calendar years from the DCF projection; estimated free cash flow is after stock-based pay, which the model treats as a cost. n/a: not in the SEC's standardized data.



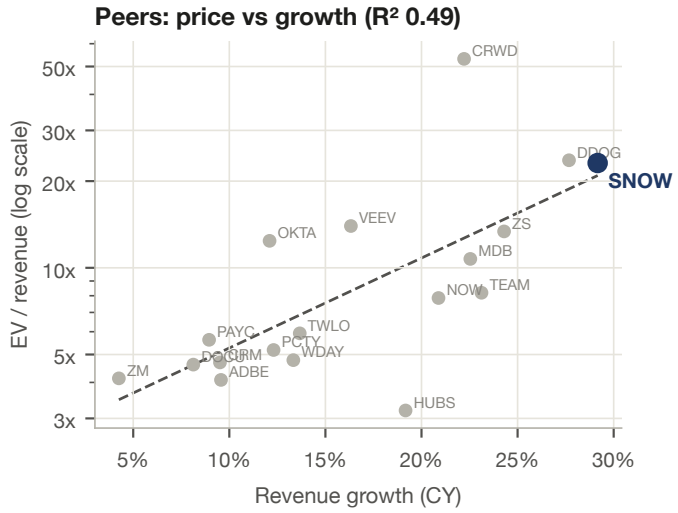
Source: 10-K filings via SEC EDGAR (fiscal-year actuals); model estimates (E, calendar years).



Source: 10-K filings via SEC EDGAR. FCF = operating cash flow - capex - capitalized software.



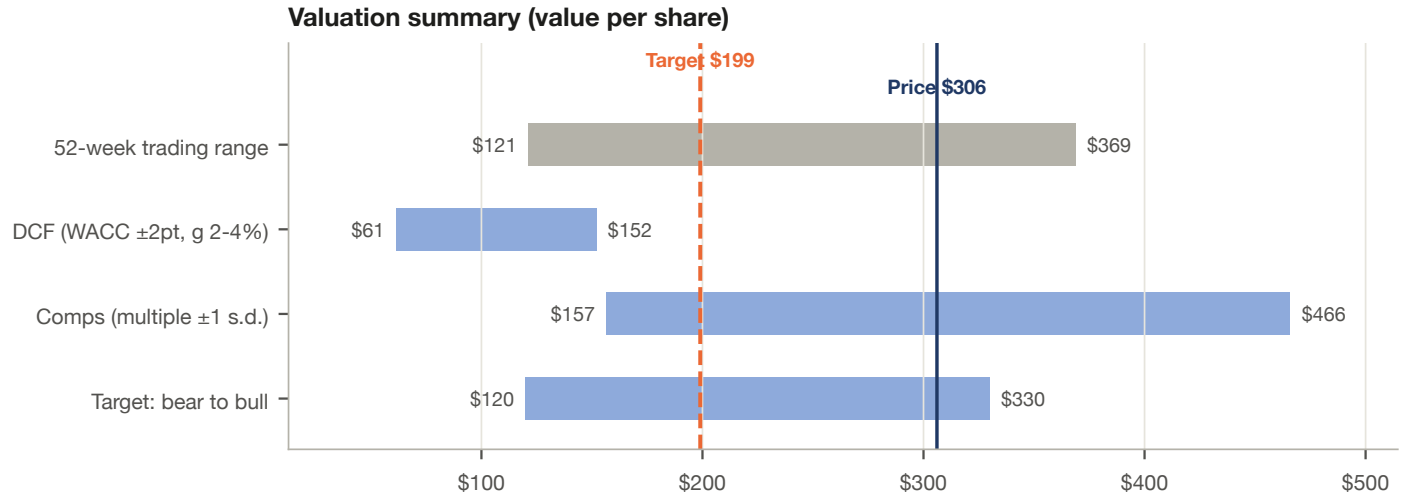
Source: 10-K filings via SEC EDGAR. A missing bar means capex is not in the SEC's standardized data.



Source: This model, calendar-year comps for the 18-company coverage universe.

Valuation and price target

Our $199 target rolls forward a blended fair value of $179.30, combining a DCF value of $89.23 and a comps-implied value of $269.36. The model does not flag the target as an outlier. The DCF uses a WACC of 11.0%, a cost of equity of 11.1%, terminal growth of 3.0% and a mature FCF margin of 25.0%. Terminal value accounts for 75.4% of DCF value. We acknowledge that DCFs tend to be harsh on fast growers, and the DCF value sits below the one-year low of $121.11. The comps leg rests on a peer regression of EV/revenue on growth with an R² of 48.9%, so it explains only part of multiple dispersion and should be read as indicative. Even this more generous comps value is below the current price. Scenarios are asymmetric. The bear case of $120 implies -60.8%. The bull case of $330 implies only 7.8%, just 2 points above the universe median of 5.8%. The one-year high of $368.89 shows the shares have traded above even our bull case, which underlines how sentiment-driven the valuation is.



Source: This model; Yahoo Finance for the 52-week trading range.

DCF sensitivity: value per share by WACC (rows) and terminal growth (columns)

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
9.0%	$115	$122	$131	$140	$152
10.0%	$96	$101	$107	$113	$121
11.0%	$82	$85	**$89**	$94	$99
12.0%	$70	$73	$76	$79	$83
13.0%	$61	$63	$66	$68	$71

Bordered cell: base case. Blue: above today's price of $306.08; red: below.

Risks to our rating

AI-driven consumption acceleration. Products such as Snowflake Intelligence, Cortex and Snowflake Postgres could lift workloads materially. Because revenue is usage-based, a step-up in AI consumption would flow through quickly and could push growth back toward the rate the price implies.

Multiple persistence. Peer regression explanatory power is modest at 48.9%. The market may continue to pay a scarcity premium for scale data platforms, sustaining multiples near 23.1x EV/revenue for longer than we assume.

Faster margin and dilution improvement. Stock-based pay fell from 41.6% of revenue in FY2024 to 34.1% in FY2026. A sharper decline, combined with operating leverage beyond our 25.0% mature FCF margin, would raise intrinsic value.

Retention and large-customer expansion. Net revenue retention of 125% and a rising count of customers above $1 million in trailing product revenue indicate continued expansion within the installed base. This could offset the consumption optimization and open-format (Iceberg) switching risks highlighted in the filing.

What would change our view

- Revenue growth re-accelerating sustainably above the FY2024 rate of 35.9%, narrowing the gap to the 66.3% implied by the share price.
- Stock-based compensation falling below the FCF margin of 23.9% as a share of revenue, alongside GAAP operating margin improving from -30.6% toward breakeven.
- The share price correcting toward our blended fair value of $179.30, which would bring expected returns back in line with the universe median.

Methodology

Price target. Fair value today blends a discounted cash flow value (50%) with a comparable-company value (50%); where the DCF is not meaningful, the comps value is used alone. The 12-month target rolls fair value forward over 12 months at the cost of equity less a dividend yield of 0%, rounded to the nearest dollar.

DCF. A two-stage model: 5 explicit years followed by 5 fade years in which revenue growth glides to a terminal rate of 3.0% and the free-cash-flow margin moves to a mature level of at least 25%. Stock-based compensation is deducted as a real cost. The discount rate is the WACC, with the cost of equity from CAPM (risk-free rate 4.3%, equity risk premium 5.5%, Blume-adjusted beta).

Comparables. ln(EV/revenue) is regressed on calendar-year revenue growth across the 18-company coverage universe (R^2 0.49). Each company's fair multiple comes from a line fitted on the other companies (leave-one-out), applied to its revenue and bridged to equity value per share.

Scenarios. Bull and bear cases shift the DCF's starting growth by ±5 points and its mature margin by ±5 points, and move the fair multiple by one standard deviation of the regression residuals (0.56 in log terms, a factor of 1.74).

Rating. Ratings are relative to the coverage universe: Overweight if the expected return beats the universe median (+6% at this date) by at least 15 points, Underweight if it trails by at least 15 points, otherwise Neutral. Targets implying a move beyond ±75% are flagged as model outliers rather than capped.

Narrative. Written by Claude Opus 5.5 from the model's figures, the company's latest 10-K (Item 1 and Item 1A) and a risk summary. Every number in the text was checked automatically against those sources; the rating and target were set by the model and given to the writer as facts.

Disclosures. This report was generated automatically by the SaaS Valuation Engine, an educational portfolio project. It is not investment research from a regulated firm and not investment advice; nothing in it is a recommendation to buy, sell or hold any security. Data: SEC EDGAR filings and Yahoo Finance market data as of 2026-11-01. Figures may contain errors; verify against the company's filings before relying on them.